

Tracing ₹347 crore of lender exposure through 13 entities

Forensic investigation for a bank-led lending consortium: fund-flow tracing, end-use testing and related-party disclosure review.

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Tracing ₹347 crore of lender exposure through 13 entities

A bank-led lending consortium needed to establish whether a borrower in insolvency proceedings had diverted loan funds, and whether its promoters had concealed this from lenders and the market.

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CLIENT TYPE

Bank-led lending consortium

ROLE

Senior Analyst, EY

PERIOD REVIEWED

2008 – 2018

CONTEXT

Insolvency (IBC / CIRP)

EXECUTIVE SUMMARY

SITUATION

A bank-led consortium had taken a borrower to insolvency proceedings, with ₹347 crore of exposure.

COMPLICATION

Records spanned ten years and 13 connected entities, and flows had been disguised as ordinary trade.

APPROACH

End-use testing against sanction letters, fund-flow tracing, trade-substance testing and SEBI disclosure checks.

IMPACT

Over ₹200 crore identified as diverted. A source-referenced evidence pack for the lenders and five control improvements.

₹347 cr

lender exposure under investigation

₹200 cr+

identified as diverted

13

entities mapped, including the borrower

10 yrs

of financial statements, annual reports and bank records

01 · THE CHALLENGE

Lenders needed tribunal-grade evidence of where ₹347 crore had gone

The lenders had classified the account as non-performing and started insolvency proceedings. They suspected that loan money had been moved into companies connected to the promoters rather than used for the purposes it was sanctioned for. Any finding had to hold up before the insolvency tribunal, so every rupee we traced had to be backed by a document.

The records were spread across a decade of audited financial statements, annual reports, bank statements, sanction letters and corporate registry filings for 13 entities. Many of the flows had been set up to look like ordinary trade.

02 · METHODOLOGY

A seven-step approach traced every drawdown from sanction letter to final beneficiary



1

Scope and hypotheses

Set out the lenders' concerns as testable hypotheses: diversion, siphoning, round-tripping and undisclosed related parties. Collected sanction letters and loan agreements to fix the permitted end use.

2

Entity universe

Used corporate registry research to link directors, shareholders and addresses, and grew the network from the borrower to 13 connected entities.

3

Build the data

Converted ten years of bank statements and financials into one transaction dataset, tagged by entity, counterparty, amount and date.

4

End-use testing

Matched each large drawdown, including loans drawn by the CEO, CTO and directors, to its sanctioned purpose, and flagged outflows that went to group companies soon after disbursement.

5

Trade substance

Tested purchase and sales entries for real goods movement: invoices with no delivery trail, circular billing, and counterparties with no operations.

6

Disclosure check

Compared the related-party transactions we found with what the annual reports disclosed under SEBI rules and IAS 24 principles.

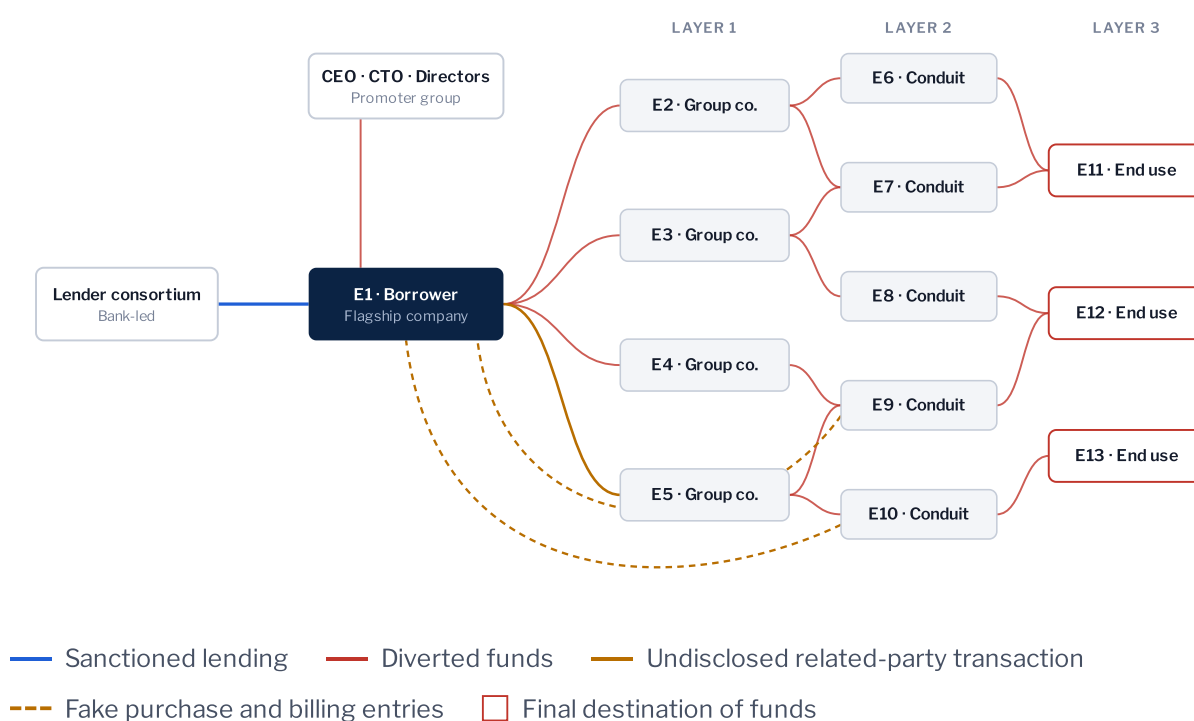
Put together fund-flow charts, a transaction schedule and a document index, each linked to a source document, for the lenders and their counsel.

03 · FUND FLOWS

Funds moved through three layers of group and conduit entities before reaching their end use

Exhibit 1: Fund-flow map across 13 entities

Schematic. Entity names withheld. Hover over a line or box for detail.



Source: engagement analysis of financial statements, annual reports and bank records, 2008–2018. Schematic; entity names withheld and layer structure simplified.

04 · FINDINGS

Over ₹200 crore was identified as diverted, concealed behind fake purchase and billing entries

FINDING	FINDING DETAIL	RAG RATING
Diversion of funds	Loans drawn by the CEO, CTO and directors did not match their sanctioned purpose. Money reached group entities soon after it was disbursed.	CRITICAL
Undisclosed related parties	Transactions with connected entities were missing from the related-party disclosures SEBI requires.	CRITICAL
Fake purchases and billing	Purchase and billing entries with no real goods movement, used to make outflows look like trade payments. Mapped as evidence.	CRITICAL
Circular flows	Money that passed through conduit entities and came back as apparent receipts, inflating reported turnover.	HIGH
Exposure quantified	Of ₹347 crore of lender exposure analysed, over ₹200 crore was identified as diverted.	HIGH

CRITICAL
Red
HIGH
Amber
MODERATE
Green

05 · CONTROL WEAKNESSES

Five control gaps allowed the diversion to go undetected; each has a prioritised fix

- **End-use monitoring:** lenders relied on the borrower's own certificates rather than checking where the money actually went after disbursement.
- **Related-party identification:** no independent check of shared directors, shareholders or addresses across counterparties.
- **Trade substance:** invoices were accepted without checking delivery documents, GST filings or whether the counterparty actually operated.
- **Early-warning signals:** circular flows and sudden growth in inter-company balances did not trigger a review.
- **Board oversight:** related-party transactions went through without proper audit committee approval or disclosure.

Recommendations

RECOMMENDATION	ADDRESSES	PRIORITY
Verify end use independently by tracing disbursed funds to beneficiaries, rather than relying on borrower certificates	End-use monitoring	HIGH

RECOMMENDATION	ADDRESSES	PRIORITY
Screen counterparties against registry data for shared directors, shareholders and addresses	Related-party identification	HIGH
Match invoices to delivery documents and GST filings before accepting trade flows	Trade substance	HIGH
Set early-warning triggers for circular flows and rapid growth in inter-company balances	Early-warning signals	MEDIUM
Require audit committee approval and disclosure review for all related-party transactions	Board oversight	MEDIUM

06 · IMPACT

The consortium gained a documented evidence base for the insolvency proceedings

The work gave the consortium an evidence base, with every entry traced to a source document, to support its position in the insolvency proceedings. It also gave the lenders specific changes to make in their end-use monitoring and related-party checks on other accounts.

07 · SKILLS USED

Capabilities applied

Fund-flow & bank-trace analysis	Financial statement forensics	IAS 24 related-party review
IFRS 9 / NPA exposure	Corporate registry research	Advanced Excel
Intella eDiscovery	Power BI	IBC / CIRP

KEY TAKEAWAYS

- 1 Borrower certificates are not evidence of end use. Only tracing the money to its beneficiary is.
- 2 Related parties hide in registry data: shared directors, shareholders and addresses reveal what disclosures omit.
- 3 Fake billing leaves a gap between invoices and delivery trails. Test for trade substance, not just paperwork.

RELEVANCE TO UAE ROLES

Relevance to the UAE market

CBUAE-licensed banks run the same end-use and early-warning controls this case tested, and UAE bankruptcy law gives creditors comparable ways to challenge transactions. The same method applies to fraud investigations, credit risk review, and AML work on trade-based money laundering and related-party misuse.